



SUJATHA, STAIN REMOVER
Came from Chinnasaalem eight years ago in search of greener pastures. Over the last few months, her income is down to Rs 1,800, from Rs 3,000 till early last year.

"I will have to go back if things don't improve as I can't sustain on this salary."



KASILINGAM, TAILOR
Belongs to Madurai district. Used to make Rs 3,000 per month, working double shifts. Makes only Rs 1,500 now with output cut. Can't go back as family owns no land.

"I am making both ends meet despite my income having been halved."

smaller ones having closed down. Tirupur is back to being a sleepy hamlet in the middle of nowhere. Says Sakthivel: "We expect to close the year with Rs 9,000 crore in revenues. However, if the rupee does not stabilise and there is no support from the government then things could worsen."

The timing of the deceleration could not have been more inappropriate as textile exports have grown exponentially ever since the quota system was dismantled in 2005. With the freedom to export as much as it wanted without any restrictions, Tirupur nearly doubled its exports from Rs 6,500 crore in 2005 to Rs 11,000 crore in 2007. The town has a target of \$25 billion (Rs 98,600 crore) by 2012, but in the current scenario this looks like a tall order.

Tirupur's exporters will have to pocket all ambition for now. During April-June 2007, textile exports stood at \$4.01 billion (Rs 15,819 crore), a de-

cline of 14 per cent compared to the same period in the previous year. In what has been considered a good year for textile exports, India, however, managed \$18.73 billion (Rs 73,796 crore) against a target of \$19.73 billion (Rs 77,712 crore) in 2006-07, showing a shortfall of about 5 per cent. India's share in the \$530 billion (Rs 20,87,225 crore) global textiles and clothing trade is a measly 3.68 per cent compared to China, which has stepped up its shipments to the EU by 12.8 per cent in value and its share of EU imports to 29.4 per cent, leaving Turkey a distant second with 14 per cent. China's share is 30 per cent in textile and clothing exports to the US, which makes India a relatively smaller player.

drawback from 7 per cent to 10 per cent. However, these measures alone cannot help save the industry. Explains Sakthivel: "Interest rate reduction does not mean addition to the bottom-line." With basic production declining due to loss of pricing capability, India has lost many buyers.

This year's Union Budget rocked the boat a little more for exporters. While the finance minister announced the extension of the Technology Upgradation Fund, under which the exporters get loan interest compensation, the new scheme will only benefit exporters who have invested in capacity expansion post-November. With repeated pleas falling on deaf ears, export associations like CITI, TEA,



"For the past four months, no fresh orders are being taken as the pricing has gone haywire."

A. SAKTHIVEL PRESIDENT, TIRUPUR EXPORTERS' ASSOCIATION